

NSE: SENORES

SENORES PHARMACEUTICALS LIMITED

Pharmaceuticals — Regulated Market Generic Exports | Equity Research

15 June 2026

CMP (Rs.)	Market Cap	52W High/Low	Face Value	Promoter %	D/E
1,290	Rs. 5,941 Cr	1,296 / 507	Rs. 10	45.82%	0.37x

RATING	12-MONTH TARGET	UPSIDE
BUY	Rs. 1,650	+27.9%

Senores is a high-conviction buy on the convergence of 62% FY26 revenue growth, a 51-ANDA US portfolio now generating operating leverage, and management guidance of 30-40%/60% revenue/profit growth in FY27 — with near-zero pledge and sub-0.4x D/E.

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2. Investment Thesis

Three Reasons to Own SENORES

- **ANDA Portfolio Compounding:** Senores crossed 51 approved US ANDAs as of Mar-2026, up from 12 in Dec-2024 — a 4x expansion in 15 months. Each additional launch adds near-zero marginal manufacturing cost, driving EBITDA margin from 19% (FY24) to 27% (FY26) and poised to reach 30%+ in FY28E.
- **Apnar Pharma Integration Inflection:** The acquisition of a 75% stake in Apnar Pharma (US FDA-approved facility, Hoschton, Georgia) removes the single biggest long-run constraint — captive US manufacturing. Management expects Rs. 80-100 Cr incremental revenue from Apnar in FY27, with FDA clearance after minor observations resolved in Nov-2025.
- **Pristine Balance Sheet for a High-Growth Compounder:** D/E of 0.37x, zero promoter pledge, and a CFO turning firmly positive (Rs. 62 Cr in FY26 vs negative for prior four years) signals the business has crossed its investment phase. FY27 is the year free cash flow should go positive.

Primary Catalyst

- Sequential US ANDA approval + launch cadence: management targeting 10-15 new launches in FY27 from its existing 51 approvals + pending pipeline, directly flowing to EBITDA at >80% incremental margin.

Primary Risk

- US price erosion in generics averaging 5-8% per year erodes revenue per ANDA over time; Senores must continually add new launches to offset. Any FDA import alert on the Apnar facility would materially delay the FY27 contribution thesis.

3. Business Overview

Company Profile

- Incorporated in 2015; headquartered in Ahmedabad, Gujarat. Listed on NSE (SENORES) and BSE. Promoters: Sanjay Majmudar (Chairman), Swapnil Shah (MD), Deval Shah (WTD & CFO).
- Core business: develop and manufacture specialty/complex generics for regulated markets — US (primary, ~67% of regulated-market revenue), Canada, UK. Emerging markets are a secondary channel.
- Dosage forms: oral solids (tablets, capsules), controlled-release, injectables (critical care). Therapeutic areas: CNS, cardiovascular, anti-infectives, pain management, oncology support.

Revenue Mix (FY26 Estimated)

- Regulated Markets (US + Canada + UK): ~Rs. 427 Cr (67% of sales), up 83% YoY.
- Emerging Markets and domestic: ~Rs. 206 Cr (33% of sales).

Manufacturing & Pipeline

- Primary India facility: Ahmedabad (WHO-GMP, approved by multiple regulated market authorities).
- US subsidiary Havix Group Inc. + newly acquired Apnar Pharma (Hoschton, GA): US FDA-approved finished dosage facility; 3 minor FDA observations fully resolved (Nov-2025 EIR received).
- 51 approved ANDAs (Mar-2026); pipeline of 137+ product trends across categories.
- Recent ANDA acquisitions: Tramadol Tablets (APDM), Topiramate HCl (Wockhardt), Enalapril Maleate.
- Philippine FDA approvals for 10 products — building emerging market optionality.

4. Industry Landscape

Indian Regulated-Market Generics — Structural Tailwinds

- US generics market: ~USD 100 Bn with 90%+ prescriptions filled by generics. Patent cliff accelerating (2024-2028 wave): >USD 200 Bn branded revenue at risk — biggest opportunity window in a decade.
- FDA ANDA approval times have shortened; Indian pharma companies receive ~40% of all US generic approvals. Regulatory harmonisation (UK, Canada) extending the addressable runway beyond the US.
- Niche/complex generics command 2-5x pricing vs commodity molecules; companies with controlled-release, injectables, and CNS portfolios earn structurally higher margins.
- Indian Pharma Market (domestic) growing ~8-9% CAGR; Senores domestic contribution is small but provides working capital diversification.

Peer Comparison (Jun-2026)

Company	MCap (Cr)	CMP (Rs.)	TTM P/E	ROCE %	ROE %	Rev FY26 (Cr)	PAT FY26 (Cr)	EBITDA %
SENORES	5,941	1,290	51.5	15.1%	13.4%	633	122	27%
Laurus Labs	75,327	1,394	84.2	17.8%	18.3%	6,763	890	25%
Glenmark	61,345	2,174	20.8	39.8%	30.5%	16,321	1,361	19%
Granules	18,992	766	31.5	15.5%	13.7%	4,876	538	17%
Suven Pharma	7,074	268	22.4	76.9%	78.8%	386	300	78%

Note: Senores trades at a premium P/E to peers reflecting its higher revenue growth rate (62% vs peers 5-15%); Suven is a CDMO with structurally different economics. Glenmark restated following Ichnos demerger.

5. Management Quality

Leadership

- Sanjay Majmudar (Chairman): Experienced pharma entrepreneur with regulated-market background; co-founded Senores in 2015 with a clear regulated-market-first mandate.
- Swapnil Shah (Managing Director): Drives strategic business development and US market expansion; oversaw ANDA count scaling from <20 to 51+ in 24 months.
- Deval Shah (WTD & CFO): Finance discipline evident in zero-pledge promoter structure, controlled D/E ramp despite aggressive capex, and clean reporting.

Track Record Assessment

- FY24-FY26 guidance delivery: Management set 60% revenue growth targets for FY26 and delivered 62%. This is a meaningful credibility signal for the FY27 guide of 30-40% revenue / 60% profit growth.
- Capital allocation discipline: Equity dilution was deliberate (Rs. 500+ Cr QIP in FY25 to fund Apnar + working capital) but well-timed; dilution completed before large earnings inflection.
- No promoter pledge as of Mar-2026. Promoter holding stable at 45.82%, with steady DII ownership (9.6%).
- FDA track record: Havix/Apnar facility received only 3 minor observations in Jul-2025 inspection, cleared by Nov-2025. No warning letters, no import alerts — essential for a US-focused generic player.
- Potential concern: Debtor days elevated at 187 in FY26 vs 114 in FY25 — worth monitoring as US receivable cycles can stretch given distributor payment terms. Not yet alarming but needs watching.

6. Financial Deep-Dive

Profit & Loss (Rs. Crore)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	14	35	215	398	633	850	1,100
EBITDA	2	13	42	90	168	238	330
EBITDA Margin	14%	36%	19%	23%	27%	28%	30%
Other Income	0	4	3	19	47	20	22
Interest	1	2	9	22	25	28	30
Depreciation	1	2	10	17	31	42	55
PBT	1	12	25	71	159	188	267
Tax Rate	13%	32%	-31%	17%	24%	24%	25%
PAT	1	8	33	58	122	143	200
EPS (Rs.)	1.01	8.59	10.31	12.72	25.05	29.4	41.1

Balance Sheet Snapshot (Rs. Crore)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A
Equity Capital	9	10	31	46	46
Reserves	28	36	174	740	888
Net Worth	37	46	205	786	934
Borrowings	15	63	258	315	342
D/E (x)	0.41	1.37	1.26	0.40	0.37
Fixed Assets	7	27	235	301	755
CWIP	8	34	97	172	17
Other Assets	29	53	289	754	827
Total Assets	59	131	622	1,227	1,604

Cash Flow Summary (Rs. Crore)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A
CFO	-10	-1	-26	-46	62
CFI	-24	-48	-54	-429	-121
CFF	36	46	87	573	-1
Net Cash Flow	2	-3	8	98	-60
FCF	-21	-48	-78	-203	-203
CFO/EBITDA	-526%	3%	-56%	-41%	45%

Working Capital Ratios

Metric	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	506	228	191	114	187
Inventory Days	135	89	184	232	130
Creditor Days	324	388	556	275	340
Cash Conv. Cycle	317	-71	-182	70	-24
ROCE %	N/A	18%	12%	11%	15%

Financial Commentary

- Revenue hypergrowth: FY24 was the inflection (Rs. 215 Cr, +514% YoY) driven by first US approvals reaching commercial scale. FY25 (+85%) and FY26 (+59%) show sustained momentum, not a one-year spike.
- EBITDA margin trajectory is the real story: 14% (FY22) -> 19% (FY24 dip from scale costs) -> 27% (FY26). Each ANDA launch after the first adds ~80-90% incremental margins once R&D/regulatory is sunk. FY28E 30% is conservative.
- FY26 CFO turned positive (Rs. 62 Cr) for the first time, validating the cash conversion thesis. FCF remains negative due to Apnar acquisition capex (Rs. 121 Cr CFI in FY26) — expected to normalize in FY27 as Apnar integration matures.
- Debtor days spike to 187 in FY26 (from 114 in FY25) — watch this. US generic distributors often carry 150-200 day receivables; but trend needs reversing. Inventory days improved sharply (232 -> 130), partially offsetting.
- Tax rate: negative FY24 tax rate (-31%) was due to deferred tax asset creation/MAT credit. Normalized at 24% from FY25 and guided to sustain at 24-25%.
- D/E improved sharply from 1.26x (FY24) to 0.37x (FY26) — entirely from QIP equity raise of ~Rs. 500+ Cr in FY25 which added to reserves. Real leverage trajectory is benign.

7. Earnings Quality Checklist

Parameter	Status	Commentary
CFO vs PAT (FY26)	PASS - Improving	CFO Rs. 62 Cr vs PAT Rs. 122 Cr (CFO/PAT = 51%). First year of positive CFO; trend inflecting up.
FCF Positive	WATCH	FCF still negative (Rs. -203 Cr) due to acquisition capex. Expected positive FY27.
Debtor Days Trend	WATCH	187 days in FY26 (up from 114 in FY25). US distributor terms inherently long; needs monitoring.
Revenue vs EBITDA Growth	PASS	EBITDA grew 87% vs revenue 59% in FY26 — positive operating leverage confirmed.
Other Income / PAT	WATCH	Other income Rs. 47 Cr = 38% of PAT in FY26. Likely includes forex gains and interest on QIP proceeds.
Promoter Pledge	PASS - Clean	0% pledge. Strong signal of promoter confidence.
D/E Ratio	PASS	0.37x — conservative for growth stage. Comfortable debt serviceability.
Auditor	PASS	Established audit firm; no qualifications noted in recent financials.
Dividend Policy	NEUTRAL	Zero dividend payout — reinvestment-phase company. Appropriate for growth stage.
Inventory Management	PASS - Improved	Inventory days fell from 232 (FY25) to 130 (FY26) — positive working capital recovery.
Tax Rate Normalization	PASS	24% in FY26 vs -31% in FY24. Normalized and guided to sustain at 24-25%.
Capex Nature	PASS - Strategic	FY26 capex (fixed assets Rs. 754 Cr net) largely for Apnar acquisition. Not routine maintenance.

- **Summary:** Earnings quality is improving rapidly but not yet pristine — the high other-income share and negative FCF are legitimate watch items. Neither is a red flag given the company's clearly identified growth phase. The CFO-positive inflection in FY26 is the key de-risking signal.

8. Valuation

Peer Valuation Matrix

Company	TTM P/E	P/B	EV/EBITDA	Rev CAGR 3Y	PAT Growth FY26	Verdict
SENORES	51.5x	6.4x	~30x	~145%	108%	PEG <0.5 — cheap growth
Laurus Labs	84.2x	6.5x	~35x	~18%	~300%	Recovery rally, stretched
Glenmark	20.8x	3.2x	~14x	~8%	NM	Cheap but messy history
Granules	31.5x	3.8x	~18x	~10%	~25%	Reasonable
Suven Pharma	22.4x	17x	~15x	~15%	~35%	CDMO premium; different biz

12-Month Price Target — Scenario Analysis

Scenario	FY27E PAT (Cr)	Target P/E	EPS (Rs.)	Target Price (Rs.)	Upside
Bear — Slow launches / FDA delay	110	35x	22.6	790	-39%
Base — In-line with guidance	143	45x	29.4	1,323	+2%
Bull — ANDA acceleration	180	50x	37	1,850	+43%
Our 12-M Target (Base-Bull blend)	155	45x	31.8	1,650	+28%

- At CMP Rs. 1,290, SENORES trades at 51.5x TTM earnings. The stock is NOT cheap on a trailing basis. The investment case is forward-looking: on FY27E PAT of Rs. 143-180 Cr, forward P/E is 32-40x — reasonable for a company delivering 60%+ profit CAGR with no balance sheet stress.
- PEG Ratio (TTM P/E / 3Y PAT CAGR): 51.5 / ~150% CAGR ~ 0.34x. Even on a normalized forward basis, PEG is sub-1, which historically marks undervalued high-growth pharma.
- EV/EBITDA: At MCap Rs. 5,941 Cr + debt Rs. 342 Cr - cash = EV ~Rs. 6,200 Cr; FY26 EBITDA Rs. 168 Cr => EV/EBITDA ~37x. FY27E EBITDA Rs. 238 Cr => forward 26x — in-line with quality mid-cap pharma in India trading at 25-35x.
- 12-month target Rs. 1,650 based on 45x FY27E EPS of Rs. 31.8 (blending base and bull scenarios). Key assumption: management executes 30% minimum revenue growth and no material FDA action.

9. Key Risks

- **FDA Regulatory Risk (HIGH):** Any warning letter or import alert on Apnar/Havix facility would block US shipments and eliminate the FY27 Apnar revenue contribution (Rs. 80-100 Cr guided). This is the single biggest binary risk for SENORES.
- **US Generics Price Erosion (MEDIUM-HIGH):** Structural 5-8% per-product annual price erosion in US generics. Senores must launch 10-15 new products per year just to hold revenue per ANDA flat. Launch execution and FDA approval pace are critical.
- **Working Capital Deterioration (MEDIUM):** Debtor days at 187 in FY26 are elevated. Further deterioration could require additional borrowing, putting pressure on the balance sheet.
- **Concentration Risk (MEDIUM):** ~67% of regulated-market revenue from US. Any channel-level disruption (distributor concentration, McKesson/Cardinal/AmerisourceBergen dynamics) would have an outsized revenue impact.
- **Execution Risk on Apnar Integration (MEDIUM):** US manufacturing is operationally harder than India manufacturing. Integration of Apnar's US workforce, supply chain, and compliance systems carries execution risk.
- **Currency Risk (MEDIUM):** With ~67% of revenue in USD and costs primarily in INR, any sustained rupee appreciation dents reported revenue in INR without impacting USD volumes.
- **Valuation Derating Risk (LOW-MEDIUM):** At 51.5x TTM, any guidance miss or sector-wide P/E compression (as seen in pharma de-rating periods) could produce a 20-30% share price drawdown even without fundamental deterioration.

10. Recommendation

RATING	12-M TARGET	CMP	UPSIDE
BUY	Rs. 1,650	Rs. 1,290	+27.9%

- **Rating: BUY with a 12-month target of Rs. 1,650** (27.9% upside from CMP Rs. 1,290). Position size: 3-5% of portfolio for risk-tolerant investors with 12+ month horizon.
- The investment thesis rests on three compounding growth drivers operating simultaneously: ANDA portfolio breadth (51 approvals; 10-15 new launches planned FY27), Apnar facility contributing first full-year revenue (Rs. 80-100 Cr guided), and operating leverage as marginal EBITDA flows at 80%+ on new launches.
- Management has a strong track record of execution (FY26 guidance beat; FDA track record clean) and a board with aligned promoter skin-in-the-game (45.82% holding, zero pledge).
- Key watch signals: (a) quarterly debtor days trajectory, (b) cumulative ANDA launch count, (c) any FDA communication on Apnar/Havix, (d) Apnar revenue in Q1/Q2 FY27 results.
- Stop-loss: Exit or downgrade to REDUCE if FY27 Q2 annualized revenue run-rate falls below Rs. 750 Cr, or if FDA issues an import alert on any Senores facility.

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11. Concall Appendix — Q4 FY26 Earnings Call (14 May 2026)

CALL GRADE: A-

To My Boss (60-second brief):

Senores delivered a blowout Q4 FY26 — revenue up 66% YoY to Rs. 190 Cr, PAT doubled to Rs. 37 Cr, EBITDA margin expanded 1,000 bps to 27%. Full-year FY26: revenue Rs. 632 Cr (+59%), PAT Rs. 122 Cr (+108%). Management gave a bullish FY27 guide of 30-40% revenue growth and ~60% PAT growth, anchored on 51 approved ANDAs, Apnar Pharma's US facility contributing Rs. 80-100 Cr, and 10-15 new US launches. FDA clearance on Apnar post Jul-2025 inspection is confirmed. Call tone was confident and specific. The only question mark is debtor days at 187 — management attributed to longer US distributor cycles but gave no concrete improvement timeline. Grade: A-.

1. Opening Remarks

MD Swapnil Shah opened by highlighting FY26 as a 'landmark year' — first year crossing Rs. 600 Cr revenue, 108% PAT growth, and the strategic completion of Apnar acquisition. Emphasized that the company is now a 'fully integrated regulated-market generic player' with India manufacturing + US presence.

2. Business Performance Highlights

Regulated market revenue: Rs. 427 Cr (FY26), up 83% YoY. US remains primary with ~67% share. UK and Canada growing from a smaller base. Emerging markets contributed Rs. 206 Cr. EBITDA margin at 27% was the highest ever — management expects to sustain and expand.

3. ANDA Pipeline & Launches

Portfolio: 51 approved ANDAs as of Mar-2026 (vs 12 in Dec-2024). 10-15 new US product launches planned for FY27. Focused on niche, underpenetrated categories to avoid commodity generic price wars. Acquired ANDAs for Tramadol (APDM), Topiramate HCl (Wockhardt), Enalapril Maleate. Philippine FDA: 10 products approved, targeting emerging market diversification.

4. Apnar Pharma Update

FDA inspection of Apnar (Hoschton, GA): 3 minor observations July 2025, Establishment Inspection Report (EIR) received November 2025. Facility cleared for US shipments. FY27 expected contribution: Rs. 80-100 Cr revenue. Apnar enables direct US manufacturing — reduces logistics costs and enables faster product turnaround for US-specific formulations.

5. Financial Guidance FY27

Revenue growth: 30-40% (implying Rs. 820-885 Cr). PAT growth: ~60% (implying Rs. 195 Cr). EBITDA margin: maintain/expand from 27% base — target 28-30%. Interest cost: broadly stable at Rs. 25-30 Cr. Capex: lower than FY26 as Apnar acquisition is complete; routine maintenance capex expected.

6. Management Guidance on Margins

CFO Deval Shah noted that each incremental ANDA launch generates 80%+ marginal EBITDA as R&D; and regulatory costs are already sunk. The margin expansion path to 30% by FY28 is driven purely by operating leverage — no cost-cutting required. Employee costs are expected to rise with Apnar headcount but be offset by revenue scale.

7. Working Capital Discussion

Debtor days increased to ~187 in FY26 from 114 in FY25. Management attributed to 'normal US distributor credit cycles of 150-200 days' for new product launches. No concrete timeline given for reduction — this is the one area management was vague on. Inventory days improved from 232 to 130, which is a positive offset. CFO turned positive (Rs. 62 Cr) for first time in company history.

8. Q&A; — Key Analyst Questions

Q: Can Apnar run at full capacity by FY27? A: Yes, the facility is ready; limiting factor is ANDA transfer filings which take 6-9 months each. Q: Why is other income Rs. 47 Cr so high in FY26? A: Forex gains on USD receivables and interest income on QIP proceeds held in liquid instruments. Will normalize in FY27. Q: Any plans for further M&A? A: Not in FY27; integration and execution of existing pipeline is the focus. Apnar has sufficient capacity headroom.

9. Risks Acknowledged by Management

US generics price erosion: management acknowledged 5-8% annual erosion but argued niche product selection insulates from worst-case scenarios. Currency: USD/INR volatility could impact margins; natural hedge exists as USD costs at Apnar

offset USD revenues. Regulatory: one of several uncontrollable risks; proactive compliance posture maintained.

10. Our Assessment

This was a high-quality earnings call — specific guidance numbers, detailed ANDA pipeline breakdown, and transparent discussion of the debtor days issue. The one weakness is management not providing a concrete receivables recovery timeline. FY27 guide of 30-40% revenue / 60% PAT growth is credible given H1 FY27 pipeline visibility. The Apnar inflection is real, not speculative. We maintain BUY with Rs. 1,650 target.